How to Read Indian Earnings

Per-sector cheat sheet + guided walkthroughs of real Q2 FY27 results

Compiled 13 October 2026. All results quoted are for the quarter ended 30 September 2026 (Q2 FY27), reported during the current October 2026 results season. Every figure carries its source; sources and access dates are listed at the end.

Educational material, not investment advice.

Part 1 - The universal frame: 8 checks for any result

Whatever the sector, run these in this order. The sector cheat sheet then tells you which 3-5 of them dominate for that kind of company.

1. **Vs consensus, not vs last year.** Consensus first, history second. Compare revenue and profit against the street poll (CNBC-TV18, Moneycontrol, Zee all publish one before big results), not just against last year. A 15% YoY rise is a miss if the poll had 20%.
2. **Margins.** EBITDA/PAT margin vs last quarter and vs the estimate. Margin surprise moves stocks more often than headline surprise.
3. **Guidance and commentary.** Forward guidance and management commentary outweigh the backward-looking quarter. For IT, the guidance band shifting matters more than the print.
4. **One-offs.** Exceptional items, tax-rate quirks, other income. A beat built on a one-time gain is a fake beat; a miss caused by a one-time charge may be a fake miss. Compare adjusted and reported.
5. **Sector quality metrics.** Banks: NII/NIM and asset quality. IT: deal wins and attrition. FMCG: volumes. Autos: volumes and mix. These tell you more than the headline PAT. Details per sector below.
6. **Cash vs profit.** If PAT rises but operating cash flow does not, ask why. Working capital creep is the usual answer.
7. **Riders.** Dividends, buybacks, fundraising, management changes announced with the print.
8. **What was already priced.** A genuine beat can still sell off if positioning was long into the print. Compare the actual move to what was priced in.

Part 2 - Sector cheat sheet: what actually matters, per sector

Each card: the 3-5 numbers to find first, what moves the stock, and the trap to avoid. Grounded in how brokerages framed this exact season (Axis Securities, HDFC Securities-HSIE, Jefferies, Nomura Q2FY27 previews, Oct 2026).

IT services (TCS, Infosys, HCLTech, Wipro, Tech Mahindra)

Watch first:

- Constant-currency (CC) revenue growth, QoQ and YoY - the rupee figure moves with the exchange rate, CC is the real demand signal.

- Deal wins / TCV (total contract value) and book-to-bill - is future revenue being booked faster than current revenue is delivered.
- Operating (EBIT) margin vs the company's own guidance band, and the reason for any drift (wage hikes, pricing, acquisitions).
- Attrition (LTM) and net headcount adds - falling attrition plus rising headcount = management expects demand.
- The guidance itself. Infosys and HCLTech guide for the full year; whether the band shifts outweighs the quarter.

What moves the stock: CC growth vs the poll, TCV trend, and any guidance change. This season brokerages split on TCS exactly on these: bulls cited broad-based growth and headcount adds, bears cited negative YoY TCV and margins stuck below the aspirational 26-28% band.

Trap to avoid: INR revenue growth flattered by a weak rupee, and profit growth flattered by one-offs in the comparison quarter (see the TCS walkthrough). Also watch for an AI-revenue headline (TCS disclosed $3.1bn annualised AI revenue this quarter) substituting for organic demand evidence.

Private banks (HDFC Bank, ICICI, Axis, Kotak, RBL, Federal)

Watch first:

- NII and NIM (net interest margin) - the core earnings engine. NIM direction matters more than the level.
- Asset quality: GNPA/NNPA ratios, slippages (fresh bad loans), credit costs, provision coverage.
- Loan growth vs deposit growth, and deposit quality (CASA share). Loans growing much faster than deposits squeezes NIM later.
- Fee income growth - the second engine, and less rate-sensitive.
- The pre-result business update. Most large banks file provisional deposit/advance numbers 1-2 weeks before results (HDFC Bank on 4 Oct, Kotak on 5 Oct this season); the stock re-prices on that, not on result day.

What moves the stock: NIM direction, credit costs, and whether growth is real or balance-sheet optics. HDFC Bank's full Q2 lands 17 Oct; the market is already trading its 4 Oct update (deposits +18.8% YoY, advances +16.3%).

Trap to avoid: Headline growth inflated by one-offs: this season's FCNR(B) swap window pumped deposits and loans at several banks, and RBI-mandated standard-asset provisions on FCNR lending hit profits. Always ask for the ex-one-off numbers (RBL disclosed them; see walkthrough).

NBFCs (Bajaj Finance, Shriram, Cholamandalam, M&M Fin)

Watch first:

- AUM growth and disbursement momentum - the volume line.
- NIM and cost of funds - NBFCs borrow to lend, so rising rates squeeze them first.
- Credit costs and slippages, especially in unsecured and microfinance books.
- Fee income and cross-sell metrics (Bajaj Finance discloses these in detail).
- Regulatory commentary - RBI/IRDAI draft rules are live margin risks (flexi-loan framework, insurance commission caps were flagged this season).

What moves the stock: AUM growth vs guidance and credit cost surprises. Brokerages (Jefferies, Emkay, Nuvama) entered this season preferring Bajaj Finance and Shriram on exactly these axes; Axis expects coverage NBFC earnings growth of ~46% YoY on contained credit costs.

Trap to avoid: Confusing AUM growth with profitable growth. Gold-loan and unsecured books grow fast but carry different risk; check which segment grew and what it costs to fund.

FMCG / staples (HUL, ITC, Nestle, Dabur, Marico, Britannia)

Watch first:

- Volume growth vs price growth - volume is real demand; price-led growth in an inflationary phase is rented.
- Gross margin - the raw-material read (palm oil, sugar, milk, wheat, copra) before cost controls blur it.
- Rural vs urban demand commentary.
- Base effects: Q2FY26 was depressed by GST-transition destocking, so this season's YoY growth is flattered by a soft base.
- Festive-season and next-quarter commentary - Q3 is the biggest consumption quarter.

What moves the stock: Volume growth and gross margin, in that order. HDFC Securities-HSIE previews this season as "healthy topline, weaker earnings amid margin stress" and stays underweight the sector; watch whether companies choose price hikes (protect margin, risk volume) or the reverse.

Trap to avoid: Rewarding a double-digit revenue print without asking how much is base effect and price hikes. ITC additionally carries tax/regulatory noise in cigarettes - read segments, not the consolidated headline.

Autos (Maruti, M&M, Tata Motors, TVS, Bajaj, Hero, Eicher)

Watch first:

- Volumes (wholesale dispatches; cross-check with VAHAN retail registrations) and segment mix.
- Product mix and premiumisation - SUVs and EVs carry higher realisations; EV penetration is above 7% of PVs and 11% of 2Ws this season.
- Commodity costs (steel/HRC, aluminium) vs price hikes taken - the margin bridge.
- EV investment drag vs EV scale (Ather/Ola vs incumbents).
- Export performance and supply-chain commentary.

What moves the stock: Volume growth vs expectation and the margin bridge. Axis Securities projects ~28% YoY OEM revenue growth this quarter on 2W/PV strength but margin contraction almost everywhere on raw-material costs - Nomura expects beats at TVS, Eicher, Ather on volume strength.

Trap to avoid: A revenue beat driven only by price hikes and mix while volumes flatten. Also: tractor and CV cycles move on different clocks than PVs - do not average them.

Pharma (Sun, Dr Reddy's, Cipla, Lupin, Zydus, Aurobindo)

Watch first:

- US generics: price erosion in the base business and one-product cliffs (this season: the gRevlimid anniversary hits Dr Reddy's, Zydus, Sun, Aurobindo).
- India formulations vs the market (IPM, per IQVIA) - growing faster than IPM means share gains; chronic vs acute mix.
- Specialty/new-product revenue (Sun's specialty scale-up, biosimilars at Biocon/Gland).
- R&D and SG&A trajectory - margin compression from pipeline spend is deliberate, not operational decay.
- USFDA / regulatory headlines attached to the result.

What moves the stock: US trajectory and margin vs the one-product baseline. HSIE expects coverage pharma sales +14% YoY but EBITDA margins -126bps this quarter, with Dr Reddy's PAT -45% on the gRevlimid cliff - a company can "miss" while its underlying business improves.

Trap to avoid: Reading a YoY PAT collapse as deterioration when it is a known exclusivity anniversary. Strip the lapsed product before judging.

Metals & commodities (Tata Steel, JSW, SAIL, Hindalco, Vedanta)

Watch first:

- Realisations vs the benchmark (domestic HRC price, LME aluminium) - the company is a price-taker.
- Spread: realisation minus key input cost (coking coal, alumina). EBITDA/tonne for steel.
- Volumes - the one lever management controls.
- Debt and capex cycle position.

What moves the stock: The commodity price direction between results. This season Axis expects steel EBITDA to recover QoQ on volume recovery and +5% QoQ HRC prices, while aluminium names see EBITDA fall 9-16% QoQ as LME corrected 10% - same country, opposite prints, neither about company execution.

Trap to avoid: Annualising one quarter of commodity-price luck, in either direction.

Value retail & consumer discretionary (DMart, Trent, Vedant Fashions)

Watch first:

- Revenue split: same-store sales growth (existing stores) vs new-store contribution. DMart does not disclose SSG cleanly; store adds (15 this quarter, 518 total) plus revenue per store is the workable proxy.
- EBITDA margin - value retail lives on thin margins; 30bps is a big move.
- Operating cost commentary (wage inflation was DMart's stated pressure this quarter).
- Store-opening guidance and the e-commerce/quick-commerce drag (DMart Ready losses sit in consolidated).

What moves the stock: Margin vs estimate and SSG commentary. The DMart walkthrough below shows a revenue in-line, margin-miss quarter and a stock that fell anyway.

Trap to avoid: Comparing consolidated and standalone numbers across articles - DMart's consolidated profit (743 cr) is lower than standalone (804 cr) because of e-commerce losses. Pick one basis and stay on it.

Industrials & capital goods (L&T, Siemens, ABB, Bharat Electronics)

Watch first:

- Order inflow and order book - revenue is backward-looking here; orders are the future.
- Execution margin on the order book, and working capital.
- Private capex vs government capex commentary.

What moves the stock: Order inflow vs expectation and margin guidance. This season brokerages flag order inflows, execution and private capex commentary as the key monitorables for industrials.

Trap to avoid: Judging a quarter on revenue when orders are the lead indicator - a slow quarter with record orders is a good quarter.

Part 3 - Guided walkthroughs: three real Q2 FY27 results

Three results reported in the last five days (8-12 October 2026), across IT, banking and retail. Each follows the same path: what the street expected, what came, what moved, what management said, what to conclude.

Walkthrough 1: TCS (IT services) - reported Thursday 8 October

What the street expected

- CNBC-TV18 poll: revenue ~Rs 73,225 cr, net profit ~Rs 13,673 cr.
- Kotak Institutional Equities preview: ~0.5% QoQ constant-currency revenue growth, ~100bps YoY EBIT margin decline, stable QoQ margins (wage revisions, acquisition impact).

What was reported

Metric	Q2 FY27	vs Q1 FY27	vs Q2 FY26	vs poll
Revenue	Rs 73,188 cr	+1.3%	+11.2%	In line (poll 73,225)
CC revenue growth	+0.5% QoQ, +2.8% YoY	-	-	In line (Kotak ~0.5%)
Net profit	Rs 13,884 cr	+4.0%	+14.9%	Beat (poll 13,673)
EBIT margin	24.0-24.1%	flat	down ~120bps (ex-one-offs)	Slightly below estimates
TCV (deal wins)	$9.6 bn	vs $9.5 bn	vs $10.0 bn	Flat-to-down
AI revenue (annualised)	$3.1 bn	-	-	>10% of revenue

Also announced: Rs 12/share interim dividend (record date 14 Oct), acquisition of Porsche's consulting arm MHP (~EUR 320 mn), Best Buy GCC transition, headcount +4,258 to 5,98,056, attrition 13.3%.

How to read it

1. Headline profit growth of +14.9% YoY is inflated. Q2FY26 carried a Rs 1,135 cr restructuring charge and Q1FY27 a Rs 668 cr legal-settlement charge; this quarter had zero exceptionals. Adjusted

for both, underlying PAT growth is ~7% YoY and roughly flat QoQ. Lesson: check the exceptionals line before quoting any growth rate.

2. Growth is real but soft. 0.5% QoQ CC growth is exactly what the street pencilled in - fine, not exciting. The stock rose 4-6% the next day anyway, because the profit beat, the dividend, and management's PERM commentary ("single-digit applications, no impact") cleared two overhangs. Lesson: price moves on surprise vs positioning, not on the absolute quality of the quarter.

3. The margin story is the one to track. EBIT margin ~24% sits below the company's own aspirational 26-28% band, and adjusted margin fell ~120bps YoY. Bears (Citi, Sell, TP 1,840; Jefferies, Underperform) cited exactly this plus TCV turning negative YoY; bulls (Goldman, Nomura, JPMorgan) cited breadth of growth. The disagreement is about the next four quarters, not this one.

Bottom line a reader should have drawn: a steady, in-line quarter with a one-off-flattered profit line; the verdict on TCS this season is about margin recovery and whether AI revenue converts to total growth, not about Q2 itself.

Walkthrough 2: RBL Bank (private bank) - reported Monday 12 October

What the street expected

- Zee Business research estimate: net profit ~Rs 520 cr, NII ~Rs 2,090 cr, GNPA ~1.2%.

What was reported

Metric	Q2 FY27	vs Q1 FY27	vs Q2 FY26	vs estimate
Net profit	Rs 482 cr	+90%	+170%	Miss (est. 520)
NII	Rs 2,131 cr	+29%	+37%	Beat (est. 2,090)
NIM	4.61%	+48 bps	-	-
GNPA / NNPA	1.02% / 0.29%	1.30% / 0.37%	2.32% / 0.57%	Better than est.
Advances growth	+42% YoY to Rs 1.42 lakh cr	-	-	-
Deposit growth	+34% YoY to Rs 1.56 lakh cr	-	-	-
Credit cost	63 bps	-	-	-
CET-1 / CRAR	29.0% / 30.1%	-	-	Post capital raise

How to read it

1. The 170% profit growth is a base effect. Year-ago profit was Rs 179 cr, a trough quarter during the bank's unsecured-book stress. Big percentage growth off a tiny base is arithmetic, not momentum.

2. The balance-sheet growth is partly optical. Deposits +34% YoY, but only +6% excluding Rs 32,472 cr mobilised through the RBI's FCNR(B) swap window; advances +42% but ~30% underlying ex-FCNR lending. Fee income also includes a non-recurring FCNR swap gain. Management disclosed all of this on the call - always look for the ex-one-off disclosure.

3. NII beat while PAT missed. Two signals can diverge inside one result; the NII beat says the core engine is fine, the PAT miss reflects provisioning (including an 11bps standard-asset provision on the FCNR lending, as flagged in Axis' BFSI preview) and the swap-related noise.

4. Context matters: this is the first full quarter after the Emirates NBD capital infusion (CET-1 29%, net worth nearly tripled since FY26). A fortress balance sheet changes what the bank can do next, but the profit run-rate is still being rebuilt.

Bottom line: a genuinely improving bank (asset quality much better, NIM up 48bps, core NII strong) wearing a costume of inflated headline growth. The right takeaway is direction (repair progressing) not magnitude (170%).

Walkthrough 3: Avenue Supermarts / DMart (value retail) - reported Saturday 10 October

What the street expected

- Zee Business estimate (standalone): revenue Rs 19,206 cr, EBITDA Rs 1,500 cr, EBITDA margin 7.8%, PAT Rs 906 cr.
- The company had already filed its Q2 business update on 3 Oct (revenue +18.4% YoY) - the market had a week to react before the full result.

What was reported (standalone; consolidated in brackets)

Metric	Q2 FY27	vs Q2 FY26	vs estimate
Revenue	Rs 19,206 cr (cons. 19,644)	+18.4% (+17.8%)	Exactly in line
EBITDA	Rs 1,403 cr (cons. 1,394)	+14.1% (+14.7%)	Miss (est. 1,500)
EBITDA margin	7.3% (cons. 7.1%)	down from 7.6% (7.3%)	Miss (est. 7.8%)
Net profit	Rs 804 cr (cons. 743)	+7.6% (+8.5%)	Big miss (est. 906)
Stores	518 (+15 in Q2)	-	-

How to read it

1. Revenue in line, profit well below: expenses grew 18.3%, faster than revenue. Management attributed it to entry-level wage inflation and chose to hold prices ("pricing proposition remains strong in an inflationary environment"). This is a deliberate margin sacrifice - the judgment call is whether the price gap protects long-term share.

2. Watch the two-stage market reaction. The stock fell ~6% on 5 Oct, two days after the revenue update (which was actually above CLSA/consensus estimates) and fell again 1.9% on result day.

Lesson: when a company files a pre-result business update, the market prices the quarter early; result-day moves reflect only what is new - here, the margin miss.

3. Standalone vs consolidated: cons. PAT (743 cr) is below standalone (804 cr) because DMart Ready e-commerce loses money. Know which number an article is quoting before comparing across sources.

Bottom line: demand is fine (18%+ growth, store adds on pace); profitability is the open question. For a high-multiple retailer, the market punishes the margin line far harder than it rewards the revenue line.

Part 4 - Where to pull the numbers yourself

- **Primary:** Company press release + investor presentation, filed on NSE/BSE the same evening (nseindia.com > company page > corporate filings). The presentation has the management-framed version; the XBRL financials filing has the raw version.
- **Commentary:** Earnings call transcript (company IR site within days; QuarterMark/AlphaStreet carry them too). Guidance and one-off explanations live here.
- **Expectations:** CNBC-TV18 / Moneycontrol / Zee publish pre-result polls - this is the consensus the market trades against.
- **Context:** Brokerage previews and reviews (Axis, HSIE, Jefferies, Nomura, Kotak) - the frame, not the truth; they disagree loudly, as the TCS reactions show.

Sources (all accessed 13 October 2026)

TCS:

- Moneycontrol result report (poll comparison, dividend): moneycontrol.com/news/business/earnings/tcs-q2-results-net-profit-rises-4-on-quarter-to-rs-13-884-crore-revenue-up-1-3-14047701.html
- TCS press release (via MarketScreener): marketscreener.com/news/tata-consultancy-services-international-growth-and-strategic-wins-underpin-tcsa-q2-ce785ddfd988f722
- Earnings call transcript: quartermark.in/companies/TCS/earnings-calls/Q2-FY27/transcript
- One-off adjusted analysis: stockwatch.live/in/news/tata-consultancy-services-tcs-q2-fy27-consol-pat-13934-cr-15-yoy-adj-7-margin-misses-25-guidance-3507b92d-a007-4667-a496-9fb39435a9c7
- Analyst reactions, stock move: thehindubusinessline.com/markets/stock-markets/tcs-shares-surge-4-post-results-analysts-split-on-outlook/article71562982.ece and business-standard.com/markets/news/tcs-q2-review-analysts-flag-weak-margins-amid-steady-growth-stock-up-4-126100900185_1.html
- Kotak preview: financialexpress.com/business/industry-tcs-results-q2-2026-live-updates-tata-consultancy-services-quarterly-2-result-revenue-earning-profit-share-price-4356010/

RBL Bank:

- Result and estimates comparison: zeebiz.com/companies/news-rbl-bank-q2-results-out-net-profit-soars-90-to-rs-482-crore-nii-beats-estimates-check-full-results-403784

- FCNR(B) and underlying growth disclosure: bfsi.economictimes.indiatimes.com/articles/rbl-bank-q2-fy27-profit-nearly-triples-to-rs-482-crore-on-loan-growth-fcnrb-gains/134895735
- Earnings call transcript: alphastreet.com/india/rbl-bank-ltd-rblbank-q2-2027-earnings-call-transcript/
- Result detail: freepressjournal.in/business/rbl-banks-net-profit-surges-170-to-482-crore-in-q2-fy27

Avenue Supermarts / DMart:

- Result (cons + standalone, margins, store count, management quotes): economictimes.indiatimes.com/markets/stocks/earnings/dmart-q2-results-cons-profit-rises-nearly-9-yoy-to-rs-743-crore-revenue-jumps-18/articleshow/134851993.cms and livemint.com/market/stock-market-news/avenue-supermarts-q2-results-dmart-parent-net-profit-jumps-8-5-to-rs-742-98-crore-revneue-up-18-11791626484306.html
- Pre-result estimates: zeebiz.com/market-news/news-avenue-supermarts-q2-results-preview-dmart-parent-may-report-21-profit-growth-here-s-what-to-watch-403592
- Business-update market reaction (6% fall, CLSA/Bernstein): cnbctv18.com/market/avenue-supermarts-dmart-share-price-two-highest-targets-from-clsa-bernstein-after-q2-update-20004339.htm

Sector grounding (brokerage Q2FY27 previews):

- Axis Securities consolidated Q2FY27 earnings preview: simplehai.axisdirect.in/app/index.php/insights/reports/downloadReport/file/Earnings+Preview+-+Q2FY27+-+Consolidated_09-10-2026_09.pdf/type/fundamental
- Axis Securities auto preview (via ETAuto): auto.economictimes.indiatimes.com/news/industry/maruti-hero-tvs-bajaj-eicher-seen-posting-strong-growth-auto-sector-q2-preview/134787688
- Axis Securities BFSI/NBFC preview: simplehai.axisdirect.in/images/2024/BFSI-Q2FY27---Earnings-Preview---071026.pdf
- HDFC Securities-HSIE FMCG preview: hdfcsec.com/hsl.docs/FMCG - Q2FY27 Results Preview - HSIE-20261005170238975060l.pdf (via ndtvprofit.com/markets/fmcg-q2-results-preview-healthy-topline-growth-but-margin-stress-may-weigh-on-earnings-says-hdfc-securities-12143694)
- HDFC Securities-HSIE pharma preview: hdfcsec.com/hsl.docs/Pharma and Healthcare - Q2FY27 Preview - HSIE-20261007160115495434O.pdf
- NBFC season framing: etnownews.com/markets/nbfc-q2-earnings-ahead-bajaj-finance-shriram-emerge-top-brokerage-picks-strong-loan-growth-margin-risks-in-focus-check-targets-article-156282235
- HDFC Bank Q2 business update (4 Oct): financialfilings.com/filings/hdfc-bank-limited/earnings-release/2026/66214525/ ; results due 17 Oct
- Kotak business update (5 Oct): moneycontrol.com/news/business/banks/kotak-mahindra-bank-q2-update-advances-rise-24-7-deposits-jump-23-2-yoy-14044934.html
- Infosys Q2 date and broker focus points: livemint.com/market/stock-market-news/infosys-q2-2026-quarterly-results-announcement-date-and-time-earnings-schedule-dividend-history-details-11791268614764.html

Caveat: brokerage estimates and poll numbers are third-party expectations, not guarantees; quoted as reported by the sources above. Tata Elxsi reported Q2 today (13 Oct): revenue Rs 1,055.7 cr (+3.4% QoQ), PAT Rs 170 cr (flat QoQ) - per tataelxsi.com press release and CNBC-TV18; not walked through in detail here.